

PRA Glossary - N

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net premium

means the premium that is calculated to provide the basic sum assured under a with-profits policy taking into consideration only the mortality and interest rate risks and using the same assumptions as used in the calculation of the mathematical reserves.

non-core large exposures group or NCLEG

has the meaning given in the Large Exposures Part.

non-directive firm

The changes to this defined term are effective from 23:00 on 31/12/2020. means (in accordance with the Financial Services and Markets Act 2000 (Controllers)(Exemption) Order 2009 (SI 2009/774)) a UK domestic firm other than: (1) a credit institution authorised under provisions which implemented the Banking Consolidation Directive; (2) an investment firm authorised under provisions which implemented MiFID II; (3) a management company as defined in article 2(1)(b) of the UCITS Directive, authorised under provisions which implemented that directive; (4) a UK Solvency II firm, the Society and managing agents.

non-directive friendly society

means a friendly society that is not a UK Solvency II firm.

non-directive insurer

The changes to this defined term are effective from 23:00 on 31/12/2020. means a firm with a Part 4A permission to effect contracts of insurance or carry out contracts of insurance, other than: (1) a UK Solvency II firm; (2) a third country branch undertaking; or (3) where the firm has the permission by reason only of the operation of the EEA Passport Rights (Amendment etc., and Transitional Provisions) (EU Exit) Regulations 2018.

non-executive director

means a director of a firm who does not perform an executive function in relation to that firm.

non-life catastrophe risk

means the risk of loss, or of adverse change in the value of insurance obligations, resulting from significant uncertainty

of pricing and provisioning assumptions related to extreme or exceptional events.

non-life premium and reserve risk

means the risk of loss, or of adverse change in the value of insurance obligations, resulting from fluctuations in the timing, frequency and severity of insured events, and in the timing and amount of claim settlements.

non-profit insurance business

means the business of effecting contracts of insurance or carrying out contracts of insurance that are non-profit policies.

non-profit policy

means a contract of long-term insurance which is not a with-profits policy.

non-regulated undertaking

means any undertaking other than a regulated entity.

non-regulated undertaking carrying out financial activities

means a non-regulated undertaking which carries on one or more of the following: (1) any of the following activities: (a) taking deposits and other repayable funds; (b) lending including, inter alia: consumer credit, credit agreements relating to immovable property, factoring, with or without recourse, financing of commercial transactions (including forfeiting); (c) financial leasing; (d) payment services as defined in regulation 2 of the Payment Services Regulations 2017/752; (e) issuing and administering other means of payment (e.g. travellers' cheques and bankers' drafts) insofar as such activity is not covered by (d); (f) guarantees and commitments; (g) trading for own account or for account of customers in any of the following: (i) money market instruments (cheques, bills, certificates of deposit, etc.); (ii) foreign exchange; (iii) financial futures and options; (iv) exchange and interest-rate instruments; or (v) transferable securities; (h) participation in securities issues and the provision of services relating to such issues; (i) advice to undertakings on capital structure, industrial strategy and related questions and advice as well as services relating to mergers and the purchase of undertakings; (j) money broking; (k) portfolio management and advice; (l) safekeeping and administration of securities; (m) credit reference services; (n) safe custody services; and (o) issuing electronic money; and (2) any of the services and activities referred to in Part 3 and Part 3A of Schedule 2 to the Regulated Activities Order, as amended from time to time, when referring to the financial instruments set out in Part 1 of Schedule 2 to the Regulated Activities Order; where those activities constitute a significant part of its overall activity.

non-Solvency I firm

means a firm that immediately before the Solvency II implementation date fell outside the scope of each of the Solvency I Directives.

non-UCITS retail scheme

The changes to this defined term are effective from 23:00 on 31/12/2020. means an ICVC, authorised unit trust scheme, or an authorised contractual scheme which is not a collective investment scheme falling within provisions implementing the UCITS Directive or a qualified investor scheme.

non-UK credit institution

means a credit institution whose registered office or, if it does not have a registered office, whose head office, is outside the UK.

non-UK G-SII

has the meaning given in point (134) of Article 4(1) of the CRR.

notified non-executive director

means a non-executive director of a firm who is not an approved person in relation to that firm.

notional general insurance MCR

means the notional minimum capital requirement calculated in accordance with Composites 4.2(2) and 4A.

notional general insurance SCR

means the notional solvency capital requirement for general insurance business, calculated in accordance with Composites 4C.3.

notional long-term insurance MCR

means the notional minimum capital requirement for long-term insurance business calculated in accordance with Composites 4.2(1) and 4B.

notional long-term insurance SCR

means the notional solvency capital requirement for long-term insurance business, calculated in accordance with Composites 4C.4.

NSLT health

means health insurance business that is not SLT health.

NSLT health premium and reserve risk

means the risk of loss, or of adverse change in the value of insurance obligations, resulting from fluctuations in the timing, frequency and severity of insured events, and in the timing and amount of claim settlements at the time of provisioning.